

stocks you really understand, the more likely it is that you are gambling rather than investing.

Mutual funds can't give you the same sense of participation as on-your-own investing. Or of excitement, for direct investing is a bit of a game—a search for clues that can reveal where the treasure's hidden. It can be a very expensive hobby if you're not careful. But if you're good at it, you can enjoy yourself and make money at the same time.

Get Yourself a Style

If you do decide to invest on your own—with a broker as your Virgilian guide through our underworld—the most important advice I can give you is that you need to have a strategy, a way of looking at the world of stocks. That might seem like an unnecessary truism, but if you examine the portfolios of most do-it-themselfers, you find a hodgepodge—a stock a friend said he heard is going to be involved in a takeover, a company that *Forbes* reported has a fabulous new widget, a stock that's dropped so far in price that your broker's told you it's a steal, the stock of a restaurant chain where you had a surprisingly good and cheap steak last week. In other words, a haphazard collection of *stories*.

Successful investors don't operate that way. They have a philosophy that dictates what kind of stocks they want to own, and they stick to their catechism. When you think of the best-known names in the business—John Templeton, Warren Buffett, Peter Lynch, and John Neff as examples—you can immediately attach an investment style to each. I know the main reason that Acorn's done well is that we've had a philosophy, a strategy, a set of values, a discipline—call it what you will—that has kept us on a constant path over the years.

I have always sought smaller companies that are understandable, with a dominant market position in whatever they make or do,